**Table 50.10** Trading Tactics

| **Trading Tactic** | **Explanation** |
|---|---|
| Measure rule | Measure the height of the pipe and subtract it from the breakout price. The bottom portion of the table shows the success rate of the measure rule using various heights. |
| Downward trend | The best performing pipes occur near the start of downtrends. Price bounces up, forms a pipe, and then resumes its downward trend. |
| Long-term uptrends | If a pipe appears in an uptrend of a year or more, then the pipe might signal a trend reversal (from up to down). Be careful because pipes sometimes are premature by 2 to 5 months. |
| Uptrend retrace | Pipes often appear in uptrends. They mark short-term weakness where the trend reverses and moves down. These can be profitable short-term moves. |
| Stop location | See Table 50.7 for guidance. |
| Tips | See text. |

| **Description** | **Bull Market** | **Bear Market** |
|---|---|---|
| Percentage reaching half height target | 80% | 83% |
| Percentage reaching full height target | 54% | 55% |
| Percentage reaching 2× height | 23% | 25% |
| Percentage reaching 3× height | 10% | 12% |

**Long-term uptrends.** In long-term uptrends, the pipe might signal the end of an uptrend. Sometimes it is premature by a few months, so do not be in too much of a rush to sell the stock short. At other times, a review of the surrounding price patterns might be rewarding. Double or triple tops sometimes show pipes as part of their tops, calling the turn exactly. Figure 50.1 shows an example of this in a head-and-shoulders top.

**Uptrend retrace.** For many uptrends, pipes represent periods of short-term weakness. Price will move down for a month or two (sometimes more)